China and Northeast Asia Decoupling

Supply Chain Divorce, Tech Wars and the New Industrial Map

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Executive Summary

The economic relationship between China and its three Northeast Asian neighbours — Japan, South Korea, and Taiwan — is undergoing the most consequential structural shift since China's WTO accession in 2001. The trajectory is unmistakable: from deep economic integration built over three decades of manufacturing interdependence toward a "de-risking" or partial decoupling driven by geopolitical competition, US export control policy, and the increasingly sharp alignment of Japan, Korea, and Taiwan with the US-led security architecture. The decoupling is neither complete nor uniform — China remains the largest single trading partner of Japan, Korea, and Taiwan — but the direction of supply chain investment, technology access restriction, and strategic industrial policy is consistently away from China and toward allied economies.

This report examines the decoupling across four dimensions: semiconductor technology access (where decoupling is most advanced and most consequential), manufacturing supply chain geography (where "China Plus One" is reshaping FDI patterns), financial integration (where the speed of change is slowest), and the commodity trade flows (where dependence remains structurally entrenched). The conclusion is that Northeast Asia's China decoupling is real, accelerating, and asymmetric — moving fastest where technology and security considerations are dominant, slowest where raw material and consumer market dependencies are deepest.

Part I — Semiconductor Technology: The Fastest Decoupling

Export Controls: The Policy Foundation

The US-led semiconductor export control regime — implemented through BIS export control rules in October 2022, expanded in October 2023, and further tightened in 2024-2025 — represents the most comprehensive technology access restriction imposed on China since the Cold War. The controls restrict China's access to:

1. Advanced logic chips (below 16nm): No US-origin chips, no chips made with US-origin equipment or software at US-controlled fab partners, may be supplied to Chinese entities on the Entity List (or to HuaWei subsidiaries, regardless of list status)

2. Advanced semiconductor equipment: EUV machines (ASML), and numerous DUV/deposition/etch/inspection tools from Applied Materials, Lam Research, KLA, Tokyo Electron, and others are restricted from export to Chinese fabs

3. Advanced AI chips: Specific GPU models (NVIDIA H100/A100 equivalents and above) restricted from export to China; NVIDIA designed "China-compliant" chips (A800, H800) that were subsequently

restricted in 2023

Japan and the Netherlands aligned with the US export control framework in 2023, with Japan restricting 23 categories of semiconductor equipment and the Netherlands (ASML) restricting EUV export licences (already not exporting to China) and certain DUV immersion systems.

China's Self-Sufficiency Effort and Its Limits

China's response — the "Little Giants" programme, the National Integrated Circuit Investment Fund (Big Fund I at RMB 138.7B, Big Fund II at RMB 204.1B, Big Fund III announced 2024 at reportedly RMB 344B) — is the most ambitious government industrial programme in history by capital commitment. The combined investment in China's semiconductor industry from state funds, SOE balance sheets, and policy bank lending is estimated at $150B+ over 2014-2025.

The results are real but bounded. China's SMIC has produced 7nm-equivalent chips using multi-patterning workarounds for missing EUV. YMTC achieved 232-layer NAND Flash before export controls froze its equipment supply. Huawei's Kirin 9000s (manufactured at SMIC) powers the Mate 60 Pro with 5G connectivity — a capability that the US assumed its export controls had precluded.

But China's self-sufficiency ceiling is clear: without EUV lithography (ASML monopoly, permanently restricted), China cannot manufacture chips below approximately 5nm at economically viable yields. The leading-edge logic (2nm, 3nm) used in advanced AI chips, premium smartphone processors, and high-performance computing is structurally inaccessible to China under the current export control framework — a constraint that persists regardless of capital investment. The semiconductor decoupling is thus permanent at the frontier, while partial at mature nodes (28nm and above) where Chinese producers are achieving meaningful domestic production.

Part II — Manufacturing: The China Plus One Migration

From Workshop to Competitor

For three decades, China was the unambiguous destination for multinational manufacturing investment — combining abundant, disciplined labour; efficient logistics infrastructure; deep supplier ecosystems; and government-provided industrial infrastructure at competitive terms. Taiwan's contract manufacturers built Foxconn, Pegatron, and Quanta's China factories; Korean conglomerates built semiconductor and display facilities in China; Japanese companies built automotive, electronics, and chemical plants across the Pearl River Delta, Yangtze Delta, and Bohai Rim.

The structural shift in manufacturing investment since 2018 — accelerated by COVID supply chain disruptions and US-China trade war tariffs — is China Plus One: maintaining China operations for China domestic market supply while diversifying production for export markets to other geographies. The primary beneficiary destinations are:

Vietnam: Vietnam has captured the largest share of manufacturing FDI displacement from China among ASEAN nations. Vietnamese exports to the US surged from approximately $48B (2018) to approximately $120B+ (2025) — much of it electronics, textiles, and assembly work relocated from China. Samsung (semiconductor packaging, DRAM test), LG (displays, appliances), Intel (chip assembly), and dozens of Taiwanese electronics manufacturers have established or expanded Vietnam operations.

India: India's Production-Linked Incentive (PLI) scheme — offering 4-6% production incentive payments on incremental manufacturing output — has attracted Apple (iPhone assembly via Foxconn and Tata), Samsung (smartphone and display), and semiconductor packaging investments (Micron, Foxconn, HCL-Foxconn JV). India's PLI scheme is explicitly modelled on China's industrial policy toolkit applied to India's own development imperative.

Mexico: Mexico's border proximity to the US, USMCA tariff benefits, and growing technical workforce have attracted semiconductor back-end operations, automotive electronics, and medical device manufacturing from both Korean and Taiwanese companies seeking IRA-compliant US-origin supply chain positioning.

Japan's China Exposure and Strategic Reshoring

Japan's direct manufacturing investment in China — built over three decades — represents approximately 33,000 Japanese-affiliated companies operating in China, employing approximately 1 million Chinese workers and generating approximately $170B in annual production value. The unwinding of this investment is happening, but slowly: the cost of factory relocation, supply chain re-establishment, and talent redeployment makes rapid exit economically impractical.

Japanese companies are following the "selective retention" strategy: maintaining China production for China domestic market sales, while reshoring or diversifying production for export markets (particularly the US, EU, and ASEAN). Panasonic (home appliances), Sharp (displays), and numerous auto parts suppliers have closed Chinese facilities while expanding in Thailand, Vietnam, and India. METI's "reshoring subsidy" programme — allocating approximately ¥250B ($1.7B) to support Japanese companies relocating semiconductor and other strategic industry production from China — has accelerated this trend.

Part III — Korea's China Dilemma: The Battery Materials Contradiction

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Caught Between Trade and Security

Korea's China relationship illustrates the decoupling's fundamental tension: the two economies are deeply integrated in ways that create genuine mutual dependency, and the political cost of decoupling is borne asymmetrically by the smaller partner (Korea, 1/70 of China's population).

Korea's semiconductor and display companies — Samsung, SK Hynix, Samsung Display, LG Display — all operate significant Chinese manufacturing facilities. Samsung's Xian NAND facility, Samsung SDC's Suzhou display plant, and LG Display's Guangzhou OLED factory represent tens of billions in invested capital and annual revenue that cannot be relocated without multi-year disruption. The US export control waivers that permit these facilities to continue receiving American equipment are finite and uncertain — creating a structural cloud over Korea's China semiconductor investment.

Korea's battery materials supply chain illustrates the reverse dependency: Korea's battery companies source approximately 80-85% of their lithium, cobalt, and precursor cathode materials from Chinese supply chains — directly or through Chinese-processed materials from African mining. CATL controls significant lithium processing capacity; Chinese chemical companies dominate the battery-grade cathode precursor market. Korean battery companies building North American factories for the IRA are dependent on Chinese materials for the cells they will produce in those US-incentivised factories — a tension that the US FEOC rules are attempting to resolve but which creates near-term supply chain complexity.

Part IV — Taiwan: The Existential Decoupling

China as Taiwan's Largest Trading Partner and Existential Threat

Taiwan's relationship with China is the most extraordinary contradiction in the global political economy: China is Taiwan's largest export market (approximately 40% of total exports, predominantly semiconductors and electronic components), while simultaneously being the military threat that justifies Taiwan's $40B defense build-up. Taiwan's economy has been deeply integrated with China's for three decades — the "1992 Consensus" economic integration that brought hundreds of thousands of

Taiwanese business people and their investments to China.

The decoupling is occurring in both directions. Taiwan has systematically restricted sensitive technology transfer to China (semiconductor export controls, limits on TSMC China operations at advanced nodes), while China has imposed economic pressure (trade restrictions, military exercises, sanctions on individuals) intended to constrain Taiwan's security cooperation with the US. The net result: Taiwan's economic dependence on China has fallen modestly (from approximately 42-44% export share in 2015-2020 to approximately 38-40% in 2024-2025) while the security competition has intensified.

Part V — Financial Integration: The Slowest Decoupler

Why Financial Decoupling Lags

Despite the dramatic geopolitical shifts in security relationships and the partial manufacturing supply chain migration, financial integration between China and Northeast Asia has decoupled far more slowly. Several structural factors explain this:

1. RMB internationalisation: Japan, Korea, and to a limited extent Taiwan hold significant RMB-denominated assets and conduct trade settlement in RMB, creating financial linkages that do not respond quickly to political signals

2. Chinese equity and bond market inclusion: Global index inclusion (MSCI, FTSE Russell, Bloomberg Barclays) has directed significant Korean and Japanese pension fund investment toward Chinese equities and bonds, creating institutional holdings that cannot be rapidly unwound without market impact

3. Trade finance flows: Much of the residual China trade is financed through Korean and Japanese banking systems in ways that create financial system exposure

The decoupling in finance will ultimately follow the decoupling in trade and technology — but with a significant lag. The SWIFT alternative payment infrastructure that China has been building (CIPS — Cross-border Interbank Payment System) remains nascent but is the Chinese government's long-term project to insulate China's financial system from Western sanctions analogous to those imposed on Russia in 2022.

Conclusion: The Reluctant Decoupling

The Northeast Asia-China decoupling is one of history's most reluctant divorces: two parties (China and its Northeast Asian economic partners) that built extraordinary mutual prosperity through integration over three decades, now finding that geopolitical competition and security competition are overriding the economic logic that drove the integration in the first place.

The decoupling is asymmetric in pace (fastest in semiconductors, slowest in finance), asymmetric in impact (China can absorb some supply chain loss from its enormous domestic market; Korea and Taiwan are more exposed), and asymmetric in optionality (Japan has more policy space than Korea or Taiwan given Japan's economic diversity).

The new industrial map taking shape — with Southeast Asia (Vietnam, Indonesia, Thailand), India, and Mexico absorbing displaced manufacturing investment, while the US-Japan-Korea-Taiwan security architecture deepens — represents a genuine structural shift in where the world's most sophisticated manufacturing occurs and whose governance frameworks govern the underlying technologies.

Whether the decoupling is manageable without triggering the conflict it is designed to prevent — the strategic dilemma at the heart of the US-China competition — is the defining question of the next decade. Northeast Asia's three democracies are betting that deterrence works. That bet is untested.

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All data from government trade statistics, PIIE, Rhodium Group, JETRO, and cited news sources.